Credit Management

COMMERCE / BBA DEPARTMENT

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COURSE OUTLINE:

1. INTRODUCTION TO CREDIT FUNCTIONS
2. COMMERECIAL CREDIT- HISTORY, COMPONENT, TYPES AND SOURCES
3. ROLE OF CREDIT DEPARTMENT
4. CREDIT POLICY FORMULATION AND DISCRIMINATION
5. COLLECTION OF POLICY APPRAISAL
6. WORKING CAPITAL MANAGEMENT
8. BANK CREDIT, TYPES AND SOURCES
9. APPRAISAL OF CREDIT PROPOSAL AND PREPARATION OF CLP, ASSESEMEMENT OF RISK FACTOR
10. ANALYSIS OF CREDIT INFORMATION, FINANCIAL AND NON-FINANCIAL FACTORS, FINANCIAL STATEMENT ANALYSIS.
11. DETERMINATION OF COLLATERAL RESOURCES
12. MODES OF CREATING CHANGES ON SECURITIES COMMERCIAL VS. BANK CREDIT.

<u>Question#1 :</u>

Define the credit and explain in details the role of credit in an economy?

<u>Answer:</u>

<u>Credit:</u>

Credit or loan is a kind of agreement where a lender provide money or good to the borrower in return of getting promise to future payment on time.

<u>Credit helps in development of a country as well as their citizens in following ways:</u>

(1) If credit is available at reasonable rates to the peoples who need it, then it can improves their economic as well as living conditions that finally leads to country's economic development.

(2) It play a major role in the development of a country by creating better facilities for agricultural and industrial activities.

(3) Many unemployed people of our country became employed by taking loans and using it on suitable activities.

(4) Many people with the help of loans transformed their old form of business into modern form and increase their production of goods that led to development.

(5) Judging, it a good facility, many companies or wholesalers etc. provide loans facilities or EMI (Equated monthly installment) on their goods, so that. Both producers as well as consumers get benefit and became developed with modern things.

<u>Question #2 :</u>

Explain the different risks a lender face while extending different type of credit?

<u>Answer:</u>

- **Risk:**

Risk may be defined as possibility of loss, which may be financial loss or loss to the image or reputation.

The major risks in banking business or banking risks, as commonly referred, are listed below

1. **<u>Credit or Default Risk</u>**

- **<u>Credit risk:</u>**

Credit risk is the possibility of a loss resulting from a borrower's failure to repay a loan or meet contractual obligations. Traditionally, it refers to the risk that a lender may not receive the owed principal and interest, IN simple words, if a person borrows loan from a bank and is not able to repay the loan because of t inadequate income, loss in business death, unwillingness or any other reasons, the bank faces credit risk.

- **Default Risk:**

Default risk is the risk that a lender takes on in the chance that a borrower will be unable to make the required payments on their debt obligation. A higher level of default risk leads to a higher required return, and in turn, a higher interest rate.

2. **Market Risk**

Market risk is the risk arising from changes in the markets to which an organization has exposure Example of market risk are changes in equity prices or commodity prices, interest rate moves or foreign exchange fluctuations.The term market risk, also known as systematic risk The different types of market risks include interest rate risk, commodity risk, currency risk, country risk.

- **currency risk:**

Potential losses due to international currency exchange rate also know as foreign exchange risk

- **Equity risk:**

Potential losses due to fluctuation in stock price

- **Commodity risk:**

Potential losses due to fluctuation in price of agricultural industrial, and energy commodities like wheat, cooper and natural gas.

- **Interest rate risk:**

Potential losses due to fluctuation in interest rate.

3. **Operational Risk:**

Operational risk is the risk of loss resulting from ineffective or failed internal processes, people, systems, or external events that can disrupt the flow of business operations.

Operational risk can occur in bank due to human error or mistakes.

Examples of operational risk include:

Employee conduct and employee error

Internal and external fraud.

Operational risk can be categorized in the following way for a better understanding:

- **Human risk:**

Potential losses due to a human error. Done willingly or unconsciously.

- **IT/System risk:**

Potential losses due to system failures and programming errors.

- **Processes risk:**

Potential losses due to improper information processing. Leaking or hacking of information and inaccuracy of data processing.

4. **Liquidity Risk**

Liquidity risk occurs when an individual investor, business, or financial institution cannot meet its short-term debt obligations.

Liquidity risk refers to how a bank's inability to meet its obligations (whether real or perceived) threatens its financial position or existence. A liquidity risk example in banks is a decline in deposits or rise in withdrawals (which are liabilities for the bank). As a result, the bank is unable to generate enough cash to meet these obligations.

5. **Business Risk**

Business risk is defined as the possibility of occurrence of any unfavorable event that has the potential to minimize gains and maximize loss of a business. In simple words, business risks are those factors that increase the chances of losses in a business and reduce opportunities of profit.

Example of business risk:

Damage by fire, flood or other natural disasters. Unexpected financial loss due to an economic downturn

Types of Business Risk

- Strategic Risk
- Compliance Risk
- Financial Risk Operational Risk

5. **Reputational Risk**

Reputational risk is the damage that can occur to a business when it fails to meet the expectations of its stakeholders and is thus negatively perceived. It can affect any business, regardless of size or industry.

Reputational risk is the risk that some negative circumstance could negatively impact your brand’s reputation and image in the marketplace.

Reputational risk is the possibility that an organization's brand will be damaged. A firm's reputation can be impaired in a number of ways, including the following:

By management actions. For example, management decides not to recall a product, which then causes injuries to a number of customers.

7. **Systemic Risk**

Is the risk that doesn't affect a single bank or financial institution but it affect the whole industry.Systematic risk is risk that impacts the entire market or a large sector of the market, not just a single stock or industry. Examples include natural disasters, weather events, inflation, changes in interest rates, war, even terrorism.

8-**Moral Hazard:**

Moral hizard is a risk that occur when a big bank or large financial institution takes risk. Knowing that someone else will have to face the burden of those risk.

Question # 3:

Define the credit management and explain the role and functions of credit department?

Answer:

Credit management:

Credit management is the process of granting credit, setting the terms on which it is granted, recovering this credit when it is due, and ensuring compliance with company credit policy, among other credit related functions.

- Role of Credit Department in Credit Management Introduction:

Credit department in the bank that evaluates the financial conditions of credit applicants and maintains a log of loan payment on currently outstanding loans •

The credit and collection function is an important component of any company's business operations. Using creative methods whenever necessary to structure transactions so that sales can be approved, the credit department can make a significant contribution to sales and profit maximization. The key is knowing when and how to accomplish the sale safely. The key is to find the best way to minimize the risk of late payment or non-payment by customers. The core activities of the credit department include:

- **Maximizing sales:**

  When the sales in the credit department increases, profit and interest also increase

- **Accelerating cash inflow:**

The credit department should receive pending loan from customers so that cash remain accelerating in the company

- **Minimizing bad debt losses:**

The credit department would minimize the risk of doubtful accounts. It can receive its payment by harsh means or others.

- **Reviewing and approving new accounts:**

If the new customer come for a loan and open a loan account

Then the credit department will take all information and then give loan

- **Developing and updating credit and collection policies,**

Credit department can make credit policies and consumer policies in such a way that consumers policies should be beneficial for credit department of it not beneficial then credit department should alter the polices.

- **Establishing appropriate credit limits and terms of sale for new and active customers:**

Introduce appropriate payment terms so that you can take back your loan with interest.

- **Creating new or more appropriate payment terms (terms of sales)**
- **Placing accounts on credit hold, and releasing orders from credit hold:**

The mortgaged property or things should be returned at the time of loan payment.

- **Managing the collection function:**

Systematically store or save the accounts from which we receive income, interest or loan

- **Maintaining current information in the credit file on each active customer:**

A credit department will maintain information to whom the loan is given and from the person from which we receive the loan.

- **Documenting credit decisions and actions**:

Credit department will take all the information and details on the basis of which means they are giving loan to their customers whether by mortgage or on the basis of their business. Etc.

- **Performing financial analysis on customer financial statements:**

Reviewer the financial statements / credit history to ensure the benefit.

- **Researching and resolving disputes and deductions that would otherwise delay or prevent payment of accounts receivable:**

  Clear the misunderstanding and resolve the issue so that customer can relate your loan with interest

- **Communicating with other departments within the company including order entry, sales and shipping:**

  Cross check information of your client with other department to ensure valid and collect information.

- **Management reporting, and:**

  To report management the amount collected from the no- of accounts & which accounts have not paid yet.

- **Safeguarding the company's investment in accounts receivable.**

  Check the information and A/R be to ensure consistency of return of loan so that your investment shouldn't be in vain.

Question #4:

Explain the credit policy formulation and discrimination in credit management?

Answer:

Defining Credit Policy

- **Definition**:

A credit policy contains guidelines that structure the amount of credit granted to customers, as well as how collections are to be conducted for delinquent accounts. The policy is an essential element of the finances of a business, since it impacts the amount of working capital required to support accounts receivable, and also influences the amount of bad debt losses. A credit policy typically addresses the following topics:

- **Credit terms**

It covers the normal payment terms that the company will allow to its customers, and the circumstances under which alternative terms are allowed.

- **Credit limits**

It states the amount of credit that will be allowed to customers, given certain criteria

- **Information requirements**

It identifies the information that must be received before credit will be granted, such as a credit application, personal guarantee, credit report, and financial statements.

- **Collection progression**

It states the order in which the collection staff will engage in collection activities, perhaps beginning with notification calls or dunning letters, and progressing through collection agencies and legal action. Importance of Credit Policy:

- **A written Credit Policy has the following advantages:**

✓ It sets out clearly how you are going to get new customers, what information you need, how much credit you are prepared to offer in time and value.

✓ It shows customers you care about them enough to explain from the start exactly how you do business.

✓ It improves internal communications when everyone knows exactly what they have to do and how to do it.

✓ It clarifies the work for credit and sales to work together in a positive environment to growth business.

✓ It sets out the steps that need to be taken to mitigate risk and minimize losses to maximize profits.

✓ It sets out the authority levels, so the work is delegated to the appropriate level in the organization, so senior manager get to review significant risk and the smaller values are handled at ground level.

✓ It should include the commercial cycle from getting a lead to putting the money in the bank.

✓ It sets out your provisioning policy, to guard against any nasty surprises.

✓ It must contain a "Right First Time" section detailing not only the steps but the order the steps should be taken, to ensure the smooth running of all your processes.

- **Objectives Of Credit Policy:**

Some of the main objectives of a credit policy are as follows;

- **Standardization**

A company will be able to remain consistent in their policies that they outline in their credit agreements with a customer. Standardization helps to but trust between the financial institution and customer and therefore enable more profitability in the future.

- **Expectations**

Credit policies main objectives also include ensuring that the expectations of an organization are met and in compliance with credit department.

- **Adjustments**

Credit policies leave room for the evaluation of decisions relating to credits i.e., a loan. A credit policy can work as a go between to ensure that a loan is met or adjusted according to the customer's individual circumstances.

- **Policy and Procedures**:

Simply put, a credit policy is a set of guidelines that sets credit and payment terms for customer sand establishes a clear course of action for late payments.

- **A good policy will generally do four things:**
- **Credit And Billed:**

Determine which customers are extended credit and billed.

- **Payments**:

Set the payment terms for parties to whom credit is extended.

- **Limits**:

Define the limits to be set on outstanding credit accounts.

- **Steps Or Procedures**:

Outline the steps or procedures used to deal with delinquent accounts.

- **Establishing Credit Policy:**
- **General Considerations:**
- **Following are the general considerations for establishing credit policy:**
- ✓ The criteria for customer's qualification.
- ✓ The Terms and condition for services on credit.
- ✓ The Process of collecting payments.
- **Other Influences on Credit Policy:**
- **Sales:**

Sales have greater influence on credit policy. The demand for a firm's product is greatly influenced by the ease with which the products can be purchased on credits.

- **Bad Debt Losses:**

Without the credit terms the firm will not incur any bad debts and vice versa.

- **Collection Costs:**

These are associated with granting credit and managing accounts receivables.

- **Formulating The Policy:**

For formulating the policy following things should be done:

- ✓ Determine which customers are extended credit and billed.
- ✓ Set the payments terms between parties.
- ✓ Outline the steps to deal with accounts.

- **Reason For Written Credit Policy:**

The main reason for written credit policy is used to determine which clients are eligible for credit and how to collect unpaid debts.

Credit policy keep your clients accountable and boost your cash flow.

Implementing Credit Policy:

“A communication policy is a set of prescriptions and norms laid down to guide the behavior of communication institution of the company”.

- **Types Of Communication:**

- **Internal Communication:**

“In internal communication, information, messages and facts are related

To the business are exchanged between those who are part of the organization or between the different organizational units.

- **External communication**

Employees may be contacted at different points of time by the media or outside sources with a request for information about the Company or its employees or policies.

- **Assignment responsibility:**

Responsibilities of the Credit Manager

The person who gives the final approval for loan or credit is known as the credit manager. Investment in account receivable of any firm depends on how much it sells in credit and how long it takes for the collection of receivables. The credit managers give their final approval after making sure that the customer is able to pay back the loan. The efficiency of receivable management is judged against its capacity to expand sales and profitability with a reasonable investment in receivables.

Credit Manager Responsibilities include:

- ❑ Researching and evaluating clients' creditworthiness
- ❑ Creating credit scoring models to predict risks
- ❑ Approving or rejecting loan requests, based on credibility and potential revenues and losses
- ❑ **Establishing Procedures:**

Procedure:" a procedure is the actual working steps that should be followed in an appropriate order to accomplish a desired result".

➢ **Following are the procedures to establish credit policy:**

- ✓ How do we minimize risk?
- ✓ How do we evaluate customer credit?
- ✓ What is the credit department's mission?
- ✓ What authority does the credit staff have?
- ❑ **Factors influencing short-term policy application:**

➢ Factors having impact on credit policy:

The credit policy is one of the essential factors determining both the quantity and quality of accounts receivables. Various factors determine the size of the investment a company makes in accounts receivables. They are, for instance:

i. The effect of credit on the volume of sales;

ii. Credit terms;

iii. Cash discount;

iv. Policies and practices of the firm for selecting credit customer

v. Paying practices and habits of the customers;

vi. The firm's policy and practice of collection; and

vii. The degree of operating efficiency in the billing, record keeping and adjustment function, other costs such as interest, collection costs and bad debts.

- ❑ A firm's credit policy has to be based on three principle:

(i) The risk of being unable to pay the debts should be borne by the firm

(ii) The firm should not be penalized by extending credit to its clients

(iii) The firm should be able to protect its interests. These principles apply whether the credit arrangement is short term or long term.

- **Conditions that can cause credit policy to change:**

- **Change in credit policy:**

Any change made by an organization in its credit policy will have a direct impact on its sales figure. While change in existing credit policy organization need to analyze the change in profitability arising out of such decisions.

- **Dimension**

The important dimensions of a firm's credit policy are:

- ✓ credit standards
- ✓ credit period
- ✓ cash discount
- ✓ collection effort

These variables are related and have a bearing on the level of sales, bad debt loss, discounts taken by customers, and collection expenses.

- **Review of credit policy:**

The policy should be in the form of a written credit manual. Reference to the credit manual should be made by the entire company (including the sales department). The policy should be communicated to your customers before, during and after the sale process.

The manual should also specify billing policies and procedures and address the internal collection process based upon age of receivable and amount.

- **Types of credit policy**

➢What are the Types of Credit?

- **The three main types of credit are:**

1. Revolving credit
2. Installment credit
3. Open credit

Credit enables people to purchase goods or services using borrowed money. The lender expects to receive the payment back with extra money (called interest) after a certain amount of time.

- **Revolving Credit**

A line of credit is one type of credit that comes with a capped limit and can be used up until you reach the predetermined threshold. It may include regular minimum payments, but usually, there is not a fixed repayment schedule.

- ✓ An example would be a credit card as there is a capped limit (the credit card limit), and you can keep using it until you reach such a limit (then over-limit fees apply).
- ✓ Another example would be a HELOC (Home Equity Line of Credit) Diagram defines the revolving credit:

- ❑ **<u>Installment Loans:</u>**

Installment loans are another type of credit that includes a fixed payment schedule for a specified duration.

- ✓ An example of an installment loan would be a car loan — you are required to pay a set amount of money at a recurring interval (ex. $280 per month) until the loan is paid off in full.
- ✓ Other examples include mortgages, student loans, and term loans.

- ❑ **<u>Open Credit</u>**

Open credit is a type of credit that requires full payment for each period, such as per month. You can borrow up to a maximum amount, similar to a credit card limit, but you are required to pay the funds borrowed in full at the end of each period.

- ✓ An example of this would be a cellphone bill — you can make phone calls, send text messages, and use data each month, and at the end of the month, you are required to pay for the services you used (including any additional usage fees).
- ✓ Another example would be a utility bill (such as electricity usage in your household).

- ❑ **<u>Credit procedures manual:</u>**

➢ The Importance of Having a Written Credit and Collection Policy and Procedure Manual:

Many companies do not have a written credit policy. There are a variety of reasons for this. Perhaps the most prevalent is the belief that a written policy is more trouble than it is worth, or that the policy once completed will quickly be forgotten or ignored. One of the benefits of a written policy is the fact that it will reduce bias and subjectivity in the credit decisions being made.

- ❑ **<u>Advantages</u>** :

There are a number of advantages or valid reasons for investing the time and effort to develop a written credit policy. Among the more important reasons are:

- ✓ A written policy is one way to ensure continuity in the department in the event that key personnel leave the credit department.
- ✓ A written policy helps ensure consistent credit decisions - meaning that all customers will be treated fairly.
- ✓ It can be used as a training tool.
- ✓ It can be used to help evaluate or benchmark job performance against established standards documented in the policies and procedures manual.
- ✓ The manual can be presented to senior management to ensure consistency between credit department operations and management's

❑ **Relevance**:

A policy must be relevant to the way the credit department actually operates. To be relevant, the credit policy must be current and it must be kept current.

A well-written credit policy will answer the following questions:

- Will a credit application be required?
- Must it be signed? If so, by who?
- Will the application include a personal guarantee?
- When must it be signed?
- Will the guarantor be required to provide personal financial statements?
- How will the creditworthiness of the guarantor be confirmed?
- What are the company's standard terms of sale?
- Who authorizes credit holds?
- Who must be informed of the credit hold?
- How will this notification take place?
- Who has the authority to withdraw open account terms?
- Who has the authority to place accounts for collection?
- What methodology will be used to calculate bad debt reserves?
- When will accounts be considered eligible for write off?

❑ **Credit Policy Do's and Don’ts.**

Whether you are writing a new policy and procedure manual, or you are reviewing and updating your current manual, you should keep these ideas in mind:

- ✓ Do not keep your credit policy a secret. Be certain to share it with your sales department and with senior management.
- ✓ Do not make your policy so rigid that that you do not have a certain amount of 'wiggle room' in your credit decision-making process.
- ✓ Do not make the policy so vague or flexible that it is subject to interpretation by each member of the credit department.
- ✓ Do update your credit policy so it does not go stale.

Question #5:

Explain the analysis of credit information and its financial and non financial factors?

Answer:

- **Introduction:**

Credit analysis is the method by which one calculates the credit worthiness of a business or organization. In other words, it is the evaluation of the ability of a company to honour its financial obligations .the audited financial statements of a large company might be analyzed when it issues or has issued bonds.

- **Definition**:

Credit analysis is the process of determining the ability of a company or person to repay their debt obligations. In other words, it is a process that determines a potential borrower's credit risk or default risk. Credit analysis is used to determine whether a company or individual qualifies for a loan or mortgage. It is also used to determine the quality of a bond.

- ❑ **Financial factors**

- **Introduction**

Financial factors consist of revenue, expenditure, operating position, debts structure, unfunded liabilities, and the condition of Capital plant.

- **Definition**

"A factor is an intermediary agent that provides cash or financing to companies by purchasing their account receivable".

- **Types of Financial Factors**

- ❑ Account receivable
- ❑ Net income
- ❑ Working capital
- ❑ Sales activity
- ❑ Fixed assets
- ❑ Operating environment
- ○ **Financial Factors in education**
- ❑ Government
- ❑ Contribution
- ❑ Student enrollment
- ❑ Student support
- ❑ Facilities
- ❑ Programming renewal
- ❑ Income generating strategies
- ○ **Factors influence financial decisions**

Financial decisions are influenced by the:

- ❑ nature of the business
- ❑ Size of business
- ❑ Legal form of organization
- ❑ Business cycle
- ○ **NON FINANCIAL FACTORS**
- ○ **Definition**:

Non-financial factors including quality of services, the flexibility of a company, utilization of resources, and market orientation are regarded as significant determinants that enhance the profitability-based performance of a service company or a hotel.

- ○ **Non-Financial Factors:**

Following are these Non-Financial factors.

- ❑ Quality of service

- ❑ Flexibility of a company
- ❑ Utilization of resources
- ❑ Market orientation
- ❑ Managerial Ownership
- ❑ Government Ownership
- ❑ Independent Board of Commission

- ✓ **Quality of service**

Credit management is extending payment terms to customers and all of them pay their invoices on time, within the terms and conditions.

- ✓ **Flexibility of a company**

Flexibility in the workplace means being able to quickly adapt to new circumstances as they arise. An employee who is flexible can change their plans to navigate or overcome unanticipated obstacles.

- ✓ **Utilization of resources**

Resource utilization is a KPI that measures performance and effort over an amount of available time (or capacity). Optimal resource utilization allows project managers to foresee resource availability across multiple categories.

- ✓ **Market orientation**

Market orientation is an approach to business that prioritizes identifying the needs and desires of consumers and creating products

Question#6:

Explain the role of the working capital management in light of credit management?

Answer:

- ❑ **WORKING CAPITAL MANAGEMENT**

Working capital is the money used to cover all of a company's short-term expenses, including inventory, payments on short-term debt, and day to-day expenses-called operating expenses. Working capital is critical since it is used to keep a business operating smoothly and meet all its financial obligations within the coming year.

- ❑ **KEY TAKEAWAYS**

- ✓ Working capital is the money used to cover all of a company's short-term expenses, which are due within one year.

- ✓ Working capital is the difference between a company's current assets and current liabilities.
- ✓ Working capital is used to purchase inventory, pay short-term debt, and day-to day operating expenses.
- ✓ Working capital is critical since it's needed to keep a business operating smoothly.

❑ **Why organizations need credit:**

➢ Company needed capital to purchase assets and maintain their operations.

➢ Working capital is the capital of a business thatch is used in its day-to-day trading operations.

❑ **W.C = Current Assets – Current Liabilities**

What is a Working capital requirement?

➢ Working Capital Requirement is the amount of money needed to finance the gap between disbursements (payments to suppliers) and receipts (payments from customers).

➢Almost every company must incur expenses before obtaining the fruits outside labor (the payment of customer invoices).

➢The nature of these costs depends on the activity.

❑ **Examples**:

➢If the business activity consists to buy and resell goods, it will require purchasing a stock of goods before selling.

➢If it's an industry, it is necessary to buy the raw material before transforming it and then sell the finished product.

❑ **Working Capital Finance:**

A working capital loan is a loan that is taken to finance a company's everyday operations.

- **Factors affecting WC Requirements:**

  i. Length of the operating cycle

  ii. Nature of Business.

  iii. Scale of Operation.

  iv. Business Cycle Fluctuation.

  v. Seasonal Factors.

vi. Credit Allowed.

vii. Price level changes

viii. Manufacturing Cycle

- **<u>Purpose of working capital:</u>**

  - ➢ Purchase of Raw Materials (RMs)
  - ➢ Purchase of stores and spares
  - ➢ Funds blocked under
  - ➢ Stock in process Finished
  - ➢ Goods Receivables
  - ➢ Advance payments to the supplier
  - ➢ Day to day expenses (e.g. wages, salaries, utility bills, etc.)

- **<u>Components of Working Capital:</u>**

The components of Working capital are in several forms of current assets:

i. Cash

ii. Raw materials

iii. Finished goods

iv. Value amount from debtors

v. Miscellaneous current assets (e.g. short-term investments and advances).

- **<u>Determinants of Working capital:</u>**

❑ Nature of business

❑ Size of business

❑ Growth and expansion

❑ Production cycle

❑ Production policy

❑ Availability of raw Material

- <u>Concept of working capital:</u>

There are two concepts of working capital:

- ✓ Gross working capital
- ✓ Net working capital concept.

- ❑ **Gross working capital:**

Gross working capital refers to the firm investment in current assets. Current assets are the asthmatic can be converted into cash within an accounting year and include cash short term securities account receivables

Gross Working capital = Total current assets

- ❑ **Networking capital:**

Networking capital refers to the difference between current assets and current liabilities. Current liabilities are those claimsofoutsiderr that are expected for the payment within the accounting year and include the creditor's bill payable and outstanding expenses.

Networking capital = current assets –current liabilities

- ❑ **Drivers of Working Capital**

Companies have both short-term assets and liabilities. A company's short-term assets are called current assets, while short-term liabilities are called current liabilities. A company's working capital is the difference between the value of the current assets and its current liabilities for the period.

- ✓ **Current Assets**

A current asset is an asset that is available for use within the next 12 months. Current assets are a company's short-term assets that can be easily liquidated-or converted into cash-and used to pay debts within the next year.

Current assets typically include::

- ❑ Cash
- ❑ Inventory
- ❑ Marketable securities
- ❑ Account receivable

- ✓ **Current Liabilities**

A current liability is a short-term expense that a company owes and must pay within a 12-month period.

Current liabilities can include:

- ❑ Account payable

- ❑ Short term debt
- ❑ Taxes owed

Question#7:

Explain the role and functions of a collection policy appraisal in credit management?

Answer:

- ❑ **Collection Policy appraisal**

A credit collections policy is a document that includes "clear, written guidelines that set the terms and conditions for supplying goods on credit, customer qualification criteria, procedure for making collections, and steps to be taken in case of customer delinquency". IN fewer words, it is a guide offering an organized and repeatable philosophy on selling on the rules, regulations and procedures to manage daily operations. The goal for a credit collections plan is to clearly define these elements so that sales and collections employees conform to documented steps and procedures designed to optimize your resources, reduce credit risk, and improve overall cash flow.

A well written and comprehensive credit collection policy will:

o Ensure continuity in the department in the event that key personnel leave the credit department.

o Help make sure all customers are treated fairly.

o Ensure consistent credit decisions are being made.

o Be used as a training tool for new sales associates and the credit and collections team.

o Be used to ensure consistency of procedure and execution between the credit department, sales, and management.

- ❑ **Collection policy appraisal:**

A collection policy is a set of procedures a company uses to ensure payments of account receivables. Collection policy should be written and strictly followed.

- ❑ **Objectives**:

The objectives of creating a credit policy are:

✓To encourage the customer to pay on time.

✓To collect past due accounts within 30 to 90 days.

- ❑ **Principles**:

Following are some principles of the collection policy of HBL:

- ✓ Collect the money owed to you.
- ✓ Develop a collection policy.
- ✓ Maintain a systematic follow-up.

❑ **Methods of improving collection:**

Awareness is the first step in collections-Awareness of what is happening in the economy, in industry, in the company, and with customers.

The collection process begins in your department; and then with other departments in your company. Before contacting the customers make sure you clear up any internal problems such as:

- ➢ Unapplied Checks
- ➢ Unresolved Billing.
- ➢ Merchandise Dispute.

❑ **HBL Policy**:

Following are the points HBL follow for collection:

✓Not call the customer at n inconvenient time like before 8. Am or after 9 pm.

✓Personal data of customers must be fully documented.

✓collection staff of the bank must fully secure the data of the customers.

✓Not harass, oppress or abuse clients

- ✓ Not use unfair practices to try to collect a debt

Question#8:

Explain the appraisal of credit proposal and preparation of cLP and also make an assessment by risk factor?

Answer:

❑ **Credit Appraisal:**

Credit appraisal is the process by which a lender /banker appraises the technical

Feasibility, economic viability and bankability including creditworthiness of the prospective borrower for a loan.

"A good thing, well begun, is half done"

Just like every bank charges different rates for different loan from different customers,

In the same way, each bank has its own set criteria that one must satisfy to qualify as a certified borrower of money /assess from the bank.

All bank have their own rules to decide the Credit worthiness of the borrower.

What are Credit scoring and Credit Rating?

Bankers talk about Credit scoring and Credit Rating in the same breath. Therefore, it is

Important to clarify the difference between Credit scoring and Credit Rating.

- **Credit scoring:**

Is the a statistical technique that combine several pre determined characteristic to from

A single score to assess a borrowers Credit worthiness.

The score allocated to any application is the sum of the appropriate weight given by the

Value that the included characteristic take for that application.

- **Credit Rating:**

On the other hand is based more on the experience and judgment of the Credit officer and you financial indicators as key. The objective of scoring uses a retail lending approach to Credit screening /decision making and is recommended for smaller ticket size loan where adequate reliable financial data about the borrowers is not available. Credit Rating on the other hand is more appropriate tool for larger, mid segment or corporate loans which have relevant financial data bussines plans that provide the basis for further Credit analysis and information.

SIDBI has developed software for Credit Appraisal called the Credit Appraisal and Rating

Tool (CART). With this software, loan proposal can be appraised on any electronic platform. This will also generate the Rating of the proposal so as to decide on the pricing.

- **Criteria for Credit Appraisal**

- ✓ income of applicants and co application
- ✓ age of applicants
- ✓ education qualification
- ✓ profession
- ✓ Experience

- ✓ Tax history
- ✓ Assets of applicants and their financing pattern
- ✓ Recurring liabilities
- ✓ Additional sources of income

- ❑ **The 3 method used to arrive at eligibility:**

1. **Installment to income ratio (IIR)**

The ratio is generally expressed as a percentage. This percentage the portion of the customers monthly

Installment on the home loan taken. Usually banks use 33.33 per cent to 40 per cent ratio. This is because it is has been observed that under normal circumstances, a person can pay an installment up to 33.33 to 40 per cent of his salary toward a loan.

2. **fixed obligation to income ratio (FOIR)**

This ratio signifies the important of the regularity in the repayment of previous loans. In this calculation the bank considers the installments of all other loan already availed of the customer and still due including the home loan applied for. In other words this ratio includes all the fixed obligation that the borrower is supposed to pay regularly on a monthly basis to any bank.

3. **Loan to cash ratio (LOCR)**

This ratio is used by banks to calculate the loan amount that an applicants is eligible to pay on the basis of the total cost of the property. This ratio set the upper limit or the maximum loan that a person is eligible for irrespective of the loan eligibility under any other Criteria.

- ❑ **Preparation of CIP**

There are following step of CLP

- ❑ **Step 1.submission of loan application**,

The financial institution require that an entrepreneur seeking financing assistance should furnish detail information about the project in a prescribed from the borrower sub it's an application from that seeks comprehensive information about the project.

- ❑ **Step II. Initial processing of loan application:**

When the application is received an officer of the institution reviews it to ascertain whether it is complete for processing on the basic of the flash report it is decided whether the project justifies a detailed appraisal or not.

- **Step III: Appraisal of the propose project.**

The detailed appraisal of the project covers the marketing, technical, financial, management and economic aspects. The Appraisal memorandum is normally prepared within two months after site inspection. Based on that a decisions is taken whether the project will be accepted or not.

- **Step IV.Issue of the letter of sanction.**

If the project is accepted, a financial letter of sanction is issues to the borrower. This communicates to the borrower is assistance sanctioned and the term and condition relating thereto.

- **Step v: Acceptance of the terms and condition by borrowing unit.**

On received the letter of sanction from the financial institution the borrower unit convenes its board Meeting at which the term and condition associated with the letter of sanction are accepted and an appropriate resolution is passed to that effect. The acceptance of the term and condition has to be convey to the financial institution within stipulated period.

- **Step VI: EXECUTION of loan agreement.**

The financial institution after receiving the letter of acceptance from the borrower sends the draft of the agreement to the borrower to be executed by the authorized person and properly stamped as per the India stamp act 1899.

- **Step VII: DISBURESMENT OF LAON.**

Periodically, the borrower is required to submit information on the physical progress of the project, financial status of the project, and fulfilment of the pre disbursement condition.

- **Step VIII: CREATION OF SECURITY.**

The term loans and the deferred payment guarantee assistance provide by the financial institution are secure through the first page mortgage, by way deposit of title deeds of immovable properties and hypothecation of movable properties.

- **STEP IX: MONITORING.**

Monitoring of the project is done at the implementation stage as well as the operational stage. During the implementation stage, the project is monitored through.

• Periodic site visits

• Audited account of the company

• Progress reports submitted by the nominee director.

• Discussion with promoters, Bankers, suppliers, Crediors, and other connect with the project.

The most important aspects of Monitoring of course is the recovery OD dues represented by interest and principal repayment. This is a worthy but elusive goal.

- **ASSESSMENT OF CREDIT FACTOR RISK.**

There are following principals of assessment of credit factor risk.

- **Principal 1. Board of director :**

The board of director should have responsibility for approving and periodically reviewing the Credit risk and significant Credit risk policies of the bank. The strategy should reflect the bank for risk and the level of probability the bank expect to achieve for incurring various Credit risk.

- **Principal B. Senior management:**

Senior management should have responsibility for implementation the Credit risk strategy approved by the board of director and for developing policies and procedure for identifying measuring, Monitoring and controlling Credit risk. Such policies and procedure should address Credit risk in all of the bank Activities and at both the individual Credit and portfolio level.

- **Principal III. PRODUCTS AND ACTIVITIES:**

Banks should identify and manager Credit risk inherent an all products and Activities. Banks should ensure that the risk of products and Activities new in them are subject I adequate procedure and contral before being introduced or under taken and approved in advance by the director of its appropriate committee.

- **PRINCIPAL VI. CREDIT GRANTING CRITERIA:**

Banks must operate under sound well defined Credit GRANTING Criteria. These Criteria should include a through understanding of the borrower or counterparty as well as purpose and structure of the Credit and its sources of the payment.

- **PRINCIPAL V. CLEARLY ESTABLISHED Process :**

Banks should have a CLEARLY ESTABLISHED process in place for approving new Credit as the extension of existing Credit.

Question#9:

Briefly explain the role and functions of credit department of a bank?

Answer:

Functions of the Credit Department of Commercial Bank

Lending money is one of the main functions of a commercial bank. In the lending process, selection of borrower is the most crucial and vital job for a banker. Before a customer enjoys credit facilities it is important that the applicant should qualify for five Cs. The five Cs are:

• Character-Intention to pay back the loan

• Capacity - Borrower's competence in terms of utilizing the fund profitably and generate income Capital -Financial strength to cover the risk

• Conditions - General business condition between two parties

• Collateral - Implies additional securities

In addition, objectives of the credit department are managing credit exposure of the bank, maintaining credit risk, compliance of Central Bank Ltd, recovering or collecting dues of retail loans or advances. At present credit division performs following activities:

• Credit Approval Process:

• Corporate Credit

• Retail Credit

Collection and Monitoring Activity:

• Recovery

• Risk management

The activities of this department include managing the financial books of the bank, checking all entries of the book are according to standards, preparing daily reports for Bangladesh Bank, revenue appropriation and calculations, setting the internal pricing rates etc.

Loan is an asset to any financial institution. That is why it is very much necessary to ensure that a loan does not become bad. The first step in ensuring that is to ask for proper documentation of the loan applicant. A default Joan might be very hard to recover due to lack of proper charge documents. This is where the asset operation department of the bank comes into action. Asset operation department of the bank acts as a last frontier to mitigate all loan related risks before disbursement of a loan. The functions of asset operation department can be broadly categorized under two heads. The first one is the disbursement and monitoring of loans. In this case the department disburses loans after obtaining clean CIB reports of the clients, checking all documents and collecting securities after proper lien and charges creation after terms of approval. This department also periodically review conditions of past due loans, limit, expiry and document deficiency.

The next operation of the department is to act as custodian and compliance of the charge documents and prepare various MIS reports for the central bank and other audit authorities.

The documents that are required by asset operation department (AOD) can be classified into three parts. First one is the business verification and related documents of the applicant. Second one is the basic charge documents like demand promissory note, letter of continuity, letter of pledge letter of hypothecation and some other documents. The third documents that asset operation department need to disburse loan is the security documents like postdated cheque, undated cheque for unsecured loan, fixed deposit or title deed for secured loan.

Overall Credit Policy of DBL

Lending being the most important function of commercial bank, every bank should have own credit

Policy. Credit policy generally aims at (a) creating healthy loan assets to ensure goods interest earning

For the bank (b) ensuring ultimate safety through judicious selection of based on its salability.

The credit policy of Dhaka Bank Limited has been formulated of the plan of ''ALL NEW LOANS TO BE

GOODS LOANS", the plan was formed on the basis of the following objectives:

• To maximize the profit of the bank by making sound lending

• To deliver credit to viable borrowing at a reasonable cost

• To provide satisfactory return on investment

• To assist the social and economic development of the country

• To deliver general banking services to the public and credit to viable borrowers at a reasonable cost

Types of Loans and Advances

When an advance is made in a lump-sum repayable either in fixed monthly installments or in lump-sum

And no subsequent debit is ordinarily allowed except by way in interest and incidental charges etc. is

Called a loan.

Loan is allowed for a single purpose where the entire amount may be required at a time or in a number of installments within a period of short span.

After disbursement of the entire loan amount, there will be only repayment by the borrower. A loan once repaid in full or in part, cannot be drawn again by the borrower.

* Personal Loan

Car Loan

• Vacation Loan

•Home Loan

• Any Purpose Loan

(Described in details in the previous part)

• Overdraft

•Import Financing

• Export Financing

* Bank Guarantee

Overdraft (O.D.)

Overdraft is an arrangement between a banker and customer by which the latter is allowed to within over and above his credit balance in the current up to an agreed limit.

This is only a temporary (usually for one year) accommodation usually granted against sufficient the merchandise is measured before the goods are delivered the client against proportionate payments.

The landed cost is determined by taking following items:

• Invoice value if the merchandise including freight

• Customs duty

• Sales tax

• Warfare

• Derange agent's charges

• Railway freight

• Insurance premium

• Other charges

Loans against Trust Receipt (LTR)

Advances against a Trust receipt obtained from the clients are allowed when the documents covering an import shipment are given without prior payment. This type of facility is given only to first class and reliable clients.

The customer holds the goods or their sale proceeds in trust for the bank till the loan allowed against Trust Receipt is fully paid off.

NEGOTIATION OF DOCUMENTS:

Negotiation of documents under letter of credit is the usual method of financing exports at the port shipment stage. In this system, after the shipment of goods the export presents the relative documents to the Negotiating bank for negotiation. Normally, an exporter is required to submit following documents drawn in terms of the credit to the bank for negotiation of the bills:

• Bill of exchange or draft

• Bill of fading/Airway Bill

• Invoice

• Packing list

Certificate of origin

• Insurance policy

• Inspection certificate

• Shipping advice

• Other documents as per terms of Letter of Credit.

PURCHASE OF EXPORT BILL:

The second and one of the most widely used methods of bank finance in export trade is the purchase of an export bill at the post shipment stage. Here the bank extends financial accommodation to the

Concerned exporter by allowing him to enjoy F.B.P (Foreign Bill Purchase) limit with prior approval of

Head office, where necessary. The bank allows the export taka equivalent of the foreign bill amount

After deducting its discount, commission and charges as per existing rule.

An export bill may be drawn either at sight or usance basis. In the case of purchase of an export bill the bank carefully scrutinize the exports credit worthiness, business integrity of the drawee bank and nature of goods exported. Further, the bank will meticulously scrutinize all the export documents as to cheek that the documents are not at all discrepant.

Bank Guarantee

Bank guarantee is nothing but giving a guarantee (commitment) to a certain organization by a bank on behalf of its client stating that if the client of the bank fails to perform certain contractual obligation, the bank will settle the liability of the client to that organization (beneficiary). Commission is realized from the bank's client for issuing such guarantee.

Bank guarantee is of two types:

• Bid Bond Guarantee,

• Performance Guarantee.

Bid Bond Guarantee:

Bid Bond Guarantee is issued by the bank on behalf of banks client favoring the beneficiary (the company which has request the bids) for the purpose of submitting Tender schedule by the client. Reporting to business unit

A monthly summary of all new loans approved, renewed, enhanced, and a list of proposals declined stating reasons thereof shall be reported by Credit Team to the Business Head.

Rejection database

A rejection database is to be maintained listing the businesses and owners/sponsors to ensure that businesses and owners/sponsors with bad history, dubious integrity and high delinquency rate do not get loan from banks.

Question #10:

What kind of credit are available what are its sources, types explain in your own words?

Answer:

Bank Credit -types and sources Credit institutions:

Credit institutions are defined in Article 4(1) of Directive 2006/48/EC as undertaking “whose business is to receive deposits or other repayable funds from the public and to grant credits for its own account”.

Bank is an example of credit institution.

- **Bank**:

An organization where people and businesses can invest or borrow money, change it to foreign money, etc.

Commercial Banks and other credit institutions play very important role in financing of business and facilitating trade, and big majority of world trade relies on bank credits and other financial instruments.

Credit management is one of the most important functions of any commercial bank. It acknowledge as one of the main sources of income for a bank and constitutes most portions of the bank's assets.

- **Types and sources of bank Types of credit:**

HBL small business finance:

- **Features:**

Financing up to PKR 10 million.

Demand finance facility up to 70% of the assessed value of your property. Affordable installments/mark up. Running finance and Guarantee facilities renewable every year. Demand finance facility up to 3 years.

- **Seasonal finance:**

HBL seasonal finance caters to the financing needs of Flour mills, cotton Ginning mills, Rice husking, Oil seed and pulses (dal) processing mills based on past performance and installed capacity.

- **Features**:

Cash finance and Running finance facility to meet working capital needs.

Adjustment of facilities over a specified time frame. Competitive mark-up rates.

Any other requirement which the bank may deem necessary from time to time.

- **HBL business finance**:

Today's business are dynamic and fast paced. At HBL, we recognize the need for quick and convention financing facility that can cater to their financial needs. With HBL business finance, small and medium sized businesses can now avail financing of up to PKR 25.0 Million.

- **Features**:

Complete financing package for meeting working capital, trade, guarantees and business expansion needs of your business .Financing up to PKR 25.0 Million .Quick and convenient processing.Competitive mark up /installments rates and processing fee.

- ❑ No stock insurance is required Other types of credit:
- ❑ Financing facility for storage of Agricultural produce (FFSAP):
- ➢ **Purpose**:

To encourage private sector for establishment / expansion / BMR of silos, warehouse & cold storages for storing agriculture produce. Cost of civil work up to 65% is also eligible under the scheme.

- ❑ **Financing Scheme for Renewable Energy:**
- ➢ **Purpose**:

Financing is availing to address challenge of energy shortages and climate change through promotion of renewable energy.

Scheme is available under three categories:

- ❑ **Long term financing facility (LTFF) for plant & machinery:**
- ➢ **Purpose:**

For local purchase and import of new plant, machinery, equipment and generator / captive power plant to promote export led industrial growth in the country.

- ❑ **Refinance & credit Guarantee scheme for women entrepreneurs:**
- ➢ **Purpose :**

To improve access to finance for women entrepreneurs in the under served areas of the country for setting up new businesses or expansion of existing business.

- ❑ **Sources of credit Deposits**:

Bank create their finance from deposit they collect from customers. By charging bank service fee and investing these deposits. State Bank: Bank also take loan from SB for their proper functioning. They also take loan from SB for opening their new branches.

- ❑ **Reserve funds:**

Bank reserves are a commercial Bank's cash holdings that are physically held by the bank and deposits held in the bank's account with the central bank.

- ❑ **Commercial Banks:**

The source for credit and borrowing that comes to one's mind is commercial banks. And there are no two opinions that these are the first and best sources of funding all over the world. In addition to providing credit to businesses for trade and manufacturing and to various service providers, they also provide credit to individuals in the form of personal loans, student loans, automobile loans, home financing, etc.

- **Financial Institutions:**

Financial institutions are dedicated credit companies that work just for disbursing credit.

- **Credit Cards:**

Credit cards are a very common source of credit. The card-issuing bank or company pays the seller on behalf of the buyer. The credit cardholder has to then return this amount within a specific period of time.

Question#11:

Explain credit risk management framework applicable in Pakistan?

Answer:

- **Risk Management.**

1.2.1 Risk Management is a discipline at the core of every financial institution and encompasses all the activities that affect its risk profile. It involves identification, measurement, monitoring and controlling risks to ensure that:

a) The individuals who take or manage risks clearly understand it.

b) The organization's Risk exposure is within the limits established by Board of Directors.

c) Risk taking Decisions are in line with the business strategy and objectives

Set by BOD.

d) The expected payoffs compensate for the risks taken e) Risk taking decisions are explicit and clear.

Sufficient capital as a buffer is available to take risk

1.2.2 The acceptance and management of financial risk is inherent to the business of banking and banks roles as financial intermediaries. Risk management as commonly perceived does not mean minimizing risk rather the goal of risk management is to optimize risk reward trade off Notwithstanding the fact that hanks are in the business of taking risk, it should be recognized that an Institution need not engage in business in a manner that unnecessarily imposes risk upon it nor it should absorb risk that can be transferred to other participants. Rather It should accept those risks that are uniquely part of the array of bank's services.

1.2.3 In every financial institution, risk management activities broadly take place simultaneously at following different hierarchy levels.

a) Strategic level: It encompasses risk management functions performed by senior management and BOD. For instance definition of risks, ascertaining institutions risk appetite, formulating strategy and policies for managing risks and establish adequate systems and controls to ensure that overall risk remain within acceptable level and the reward compensate for the risk taken.

b) Macro Level it encompasses risk management within a business area or acress business lines. Generally the risk management activities performed by middle management or units devoted to risk reviews fall into this

Category.

c) Micro Level: It involves 'On-the-line' risk management where risks are actually created. This is the risk management activities performed by Individuals who take risk on organization's behall such as front office and loan origination functions. The risk management in those areas is confined to following operational procedures and guidelines set by management.

1.3.1 Expanding business arenas, deregulation and globalization of financial activities emergence of new financial products and increased level of competition has necessitated a need for an effective and structured risk management in financial Institutions. A bank's ability to measure monitor, and steer risks comprehensively is becoming a decisive parameter for its strategie positioning. The risk management framework and sophistication of the process, and internal controls, used to manage risks, depends on the nature, size and complexity of institutions activities. Nevertheless, there are some basic principles that apply to all financial institutions irrespective of their size and complexity of business and are reflective of the strength of an individual bank's risk management practices.

Question#12:

Discuss credit analysis in details?

Answer:

- **Credit analysis:**

Credit analysis is a process that determines the ability of a company or individual to fulfill their financial obligations. Credit analysis is used to determine whether a company or individual qualifies for a loan or mortgage. It is also used to determine the quality of a bond. Credit analysis is important for banks, investors, and investment funds. The purpose of credit analysis is to determine the creditworthiness of borrowers by quantifying the risk of loss that the lender is exposed to.

Credit analysis is used by:

- Creditors to determine a corporation’s ability to pay back loans
- Creditors to determine an individual’s ability to pay back a loan or mortgage
- Investors to determine a corporation’s financial stability
- A Commercial Banking & Credit Analyst (CBCA)

Question#13:

Collateral security, what’s are its various types

Answer:

Collateral security is any other security offered for the said credit facility. The assets pledged by a borrower as security for a loan. ,

Collateral can be defined as an asset that is pledged to the bank to cover any losses the bank might incur if the business is not able to repay what it owes to the bank. It can be divided into inside and outside collateral.

Example:

Hypothecation of jewelery, mortgage of house, etc.

- **Types of collateral security:**

Four types of collateral security you can give for getting credit facilities are

1. Personal Guarantee
2. Maturity
3. Covenants
4. Menu Pricing

- **Personal guarantee:**

When an entrepreneur extends a personal guarantee to a business, it conveys a claim on all personal assets of the entrepreneur. It gives lender recourse to all the personal assets of the entrepreneur in case of any shortfall in the loan’s repayment. IN the case of personal guarantee, the lender is free to use or dispose of the entrepreneur’s assets as the lender wishes.

- **Maturity**:

Debt contracts with very short maturities allow a bank to limit the period of exposure and at the end of the period the bank has an opportunity to reassess the creditworthiness of the venture. This can be very effectively used while issuing credit limits.

- **Covenants**:

Debt covenants are commitments from borrowers regarding certain actions or activities. These can be promises to meet certain financial goals and performance targets or to engage in or refrain from certain specific activities. A banker may prohibit a lender from engaging in speculative activity by stocking up more-than-required inventory when the cost is perceived to be low. It must be kept in mind that a covenant can only be based on something that is mutually observable and verifiable.

- **Menu Pricing**:

Many have argued that it may be possible to increase payouts for riskier lending by innovatively using menu pricing. Kantians (1987) and Berkovitch and Greenbaum (1991) have suggested that lenders can utilize menu pricing on loans by offering alternative contacts that differ in terms of upfront fees, penalties, and interest rates.

Practically, many bankers realize its usefulness in dealing with marginally riskier lending but find no rationale in using this to justify extending very risky loans.

Question#14:

What is commercial letter of credit? Explain its various types?

Answer:

Commercial banks issue various letters of credit for the international trade, which are called commercial letters of credit. These letters not only act as money in the international trade but also play an important role in the transfer of money and investments. The commercial L.C. provides a reasonable time to the importers for payment and the exporters also don't face any problem for the payment.

- **DEFINITIONS**:

(i)"The letter of credit is a written instrument issued by the buyer's bank authorizing the seller to draw in accordance with certain terms and conditions".

(Frank Henious)

(ii)"The letter of credit is a commitment on the part of the buyer's bank to pay or accept draft drawn upon it provided such drafts do not exceed a specified amount".

(**Pritchard**)

- **KINDS OF COMMERCIAL L.C.**

Following are the main kinds of commercial L.C:

1. **Clean L.C:**

It is that L.C. in which no condition attached to the bill and the exporter has no need to deposit the bill of lading, invoice and the papers of insurance policy to get his money.

2. **Documentary L.C:**

A documentary L.C. provides that the drafts drawn under it are to be accompanied by different documents relating to the merchandise. e.g.. Bill of lading, invoice and insurance policy etc.

3. **Confirmed L.C:**

A confirmed L.C. is confirmed if it is added the "confirmation" of the intermediary bank by which that bank also binds itself by giving undertaking to honor the drafts drawn under it.

4**. Un-confirmed L.C:**

In case of this L.C. intermediary bank forwards the L.C. (advises or notifies the L.C.) to the beneficiary but does not assume any liability in this regard.

5. **Revocable L.C:**

The payment of this L.C. is not confirmed because the bank or importer may cancel or alter its contents at any time due to any reason. Therefore the use of revocable L.C is very less in international market.

6. **Irrevocable L.C:**

The payment of this L.C. is confirmed because bank or trader cannot cancel or alter it before payment. So this L.C. is more reliable in international trade.

7. **Fixed L.C:**

This LC is issued for a particular transaction or for the payment of fixed amount and it is automatically cancelled at the completion of transaction or payment.

8. **Revolving L.C:**

Although this LC is issued for the payment of a specific amount, but at the completion of all the transactions it is automatically renewed for the same specific amount.

9, **Special L.C:**

This L.C. is restricted in its operation to a particular intermediary bank, named in LC. This bank acts as advising as well as negotiating bank.

10. **Freely Negotiable L.C:**

Under this LC. The exporter can get the money by showing concerned documents to any bank. This bank may be different from the informatory or advising bank.

11. **Transferable L.C:**

The LC whose receiver has full right to endorse it is called transferable LC. He can instruct his bank to endorse it completely or partially in the favor of any person.

12. **Red Clause L.C:**

In this L.C. the intermediary bank can provide loan to exporter for packing and transportation of goods before the shipment of goods. The statement containing the detail of order is specially written with red ink.

13. **Green Clauses L.C:**

It is the developed form of red clause L.C. in which the exporter can get loan not only for packing or transportation but also for storage as well. The statement containing the detail of order is specially written with green ink

14. **Back to Back L.C:**

In this L.C. the receiver of money is not the sender of goods. Means the beneficiary is not the actual supplier. He produces or open his own LC. To his bank and on the strength of it gets opened another L.C. in the favor of the actual suppliers. Thus the beneficiary buys the goods from the actual supplier and supplies the same to the buyer.

Note: Pakistani traders mostly use conformed LC. in their international transactions or trade.

Question# 15:

Various principles and forms of lending?

Answer:

Lending refers to the process when an entity or individual person gives away its recourses to another entity or individual persons as per predefined mutual terms.

OR

Lending is the process of giving money by a resource surplus entity/person to resource deficit person/entity on commercial terms or non-commercial terms based on mutual understanding.

Principles of lending:

- Liquidity
- Safety
- Diversity
- Stability
- Profitability

- **Liquidity**:
- Liquidity is an important principle of bank lending. Bank lend for short periods only because they lend public money which can be withdrawn at any time by depositors. A bank chooses such securities in its investment portfolio which possess sufficient liquidity.
- **Safety**:

The safety of funds lent is another principle of lending. Safety means that the borrower should be able to repay the loan and interest in time at regular intervals without default. The repayment of the loan depends upon the nature of security, the character of the borrower, his capacity to repay and his financial standing.

- **Diversity**:

In choosing its investment portfolio, a commercial bank should follow the principle of diversity. It should not invest its surplus funds in a particular type of security but in different types of securities. It should choose the shares and debentures of different types of industries situated in different regions of the country. The principle of diversity also applies to the advancing of loans to varied types of firms, industries, businesses and trades. A bank should follow the maxim: “Do not keep all eggs in one basket.”

- **Stability**:

Another important principle of a bank’s investment policy should be to invest in those stocks and securities which possess a high degree of stability in their prices. The bank cannot afford any loss on the value of its securities. It should, therefore, invest it funds in the shares of reputed companies where the possibility of decline in their prices is remote.

Government bonds and debentures of companies carry fixed rates of interest. Their value changes with changes in the market rate of interest.

- **Profitability**:
- This should be the chief principle of investment. A bank should only invest if it earn sufficient profit from it. It should, therefore, invest in such securities which was sure a fair and stable return on the funds invested. The earning capacity of securities and shares depends upon the interest rate and the dividend rate and the tax benefits they carry.
- **Forms of lending**
- Cash Finance (Cash Credit)
- Overdraft
- Loans (Term Finance)

- ❑ Purchase and Discounting of Bills
- ❑ Hire-purchase and Leasing Finance

✓ **Cash finance (cash credit):**

A Cash Credit is a very common form of borrowing by commercial and industrial concerns, and it is made available either against pledge or hypothecation of Good. In cash finance, a borrower is allowed to borrow money up to a certain limit, either at once or as and when required.

✓ **Overdraft:**

The overdraft allows the account holder to continue withdrawing money even when the account has no funds in it or has insufficient funds to cover the amount of the withdrawal. Basically, an overdraft means that the bank allows customers to borrow a set amount of money.

✓ **Loan (term finance):**

A term loan provides borrowers with a lump sum of cash upfront in exchange for specific borrowing terms. Borrowers agree to pay their lenders a fixed amount over a certain repayment schedule with either a fixed or floating interest rate.

✓ **Hire purchase and leasing finance:**

Sometimes an intending purchaser has no money sufficient to purchase a certain Transport vehicle, machinery, computers or other durable consumer goods. Therefore, banks provide finance to hire Purchase or lease the needed goods.

✓ **Purchase and discounting of bills:**

The banker advances money on the security of Bills of exchange after deducting a certain

Percentage, technically known as ‘discount’, from the face value of the bill.

- ❑ Documentary bills of exchange
- ❑ Clean bills of exchange
- ❑ Demand bills of exchange
- ❑ Usance bills of exchange

When discounting, the banks deduct amount at mentioned discount rate and balance is paid to the Party.

Question#16:

Discuss the Advantages and Disadvantages of internal rate of return (IRR) and

Net present value (NPV)?

Answer:

- **Definitions:**

- **Internal rate of return (IRR):**

Internal rate of return (IRR) is the rate of interest that makes the sum of all cash flows zero, and is useful to compare one investment to another.

- **Net present value (NPV):**

Net present value (NPV) is the difference between the present value of cash inflows and the present value of cash outflows over a period of time. NPV is used in capital budgeting and investment planning to analyze the profitability of a projected investment or project.

- **Advantages of IRR:**

1 adjusts for time value of money

2- Cash flows rather than earnings

3-Accounts for all cash flows

4-Project IRR is a number with intuitive appeal

5- Related to NPV rule, often leading to the same Decisions.

6- Easy to understand and communicate.

7- It calculates break-even

8- Tell whether investment increase the firm value.

9- It show return on original amount invested.

10- IRR is very clear and easy to understand.

11- Closely related to NPV

12- Easy to calculate

13- Widely accepted

14- No need to calculate cost of capital

15- In the working world, many people use IRR

- **Disadvantages of IRR:**

1-Not always easy to calculate

2- May result in multiple answers

3- May lead to incorrect decision

4- The process of calculation IRR can be time consuming.

5- Biased toward short-term projects

6- More complex than NPV

7- Can provide an incomplete picture of the future

8- Ignores the overall size and scope of the project.

9- It ignores future costs within the calculation

10- Ignores Reinvestment Rates

- **Advantages of NPV:**

1- Cash flows rather than net earnings

2- NPV recognizes the time value of money

3- NPVs are additive

4- NPV is straightforward to calculate

5- Helps the management of the company in the better decision making

6- NPV can handle multiple discount rates without any problems

7- Consider time value of money

8- Consider all cash flows

9- Consider the risk of future cash flows

10- Provide better forecast

- **Disadvantages of NPV:**

1-it requires some guesswork about the firm's cost of capital.

2-NPV method is not useful for comparing two projects of different size.

3- Another disadvantage of using NPV is that a company may select a cost of capital that is either too high or too low, thus leading the company to miss a profitable opportunity or make an investment that is not worthwhile.

4- Future cash flows are just estimates

5- Cost of capital may be difficult to find

6- Not easy to find discount rate

7- More difficult to understand and operate

8- Biased against long-term projects

Question #17:

Discuss 6 C's of lending to be considered while extending credit facility to a borrower?

Answer:

- **Lending :**

Lending is the process of giving money by a resource surplus entity / person to resource deficit person/ entity on commercial or non commercial terms based on mutual understandings.

OR

Len1ding refers to the process when an entity or individual person give away its resources to another entity or individual person as per predefined mutual terms.

The 6 C’s of credit are used to convey the creditworthiness of potential borrowers. They are only a variety of factors that lenders evaluate to determine how much of a risk the potential borrower is for the financial institution.

- ✓ **6C’s of commercial credit:**

- ❑ Collateral
- ❑ Character
- ❑ Capacity
- ❑ Capital
- ❑ Conditions
- ❑ Control

- ✓ **Collateral**:

Collateral is the security that the borrower provides as a guarantee for the loan, and it acts as a backup in the event that the borrower defaults on the loan. For example, a home acts as collateral for a mortgage loan, and auto loans are secured by vehicles. The collateral can also be accounts receivable or inventory for the business, real estate or real property, factory equipment, and working capital.

- ✓ **<u>Character</u>**:

Character is the single most important factor considered by a reputable bank. It looks at the borrower's reputation for paying debts. The lender is interested in lending to people who are responsible and needs to be confident that they have the right experience, education background, and industry knowledge to operate the business. The lender assesses the borrower's character by looking at their reputation as well as credit history. It will review the borrower's credit report to know how much they have borrowed in the past, and whether they paid on time.it is the borrower integrity, honesty and intention to repay the amount of loan taken from the bank.

- ✓ **<u>Capacity</u>**:

This is referred to as the ability to do a business .in simple words the borrower ability to generate the profit .To determine the capacity of the borrower the banker must investigate the following:

- **<u>Authority</u>**:

Identify of borrower and guarantors. Copies of resolution, partnership agreement and other legal document.

- **<u>Ability</u>**:

Adequate cash flow from sales or income to repay the loan.

This is an evaluation of the company's ability to repay the loan. The bank needs to know how you will repay the funds before it will approve your loan. The bank/lender will assess the capacity of the borrower by looking at their cash flow statement, credit scores, as well as the payment history of current loans and expenses.

- ✓ **<u>Capital</u>**:

A company's owner must have his own funds invested in the company before a financial institution will be willing to risk their investment. Capital is the owner's personal investment in his/her business which could be lost if the business fails. Borrowers with a large capital contribution in the business find it easier to get loan approval because they present a lower risk of default.

- ✓ **<u>Conditions</u>**:

Conditions refer to the terms of the loan itself, as well as any economic conditions that might affect the borrower. Business lenders review conditions such as the strength or weakness of the overall economy and the purpose of the loan. Conditions can refer to how a borrower intends to use the money. Consider a borrower who applies for a car.

- ✓ **<u>Control</u>** :

It consists of relevant banking laws and regulation regarding the characteristics and quality of the acceptable loan. It should have adequate documentation prepared for auditing the loan.

Question#18:

Explain letter of Guarantee and its various types?

Answer:

By definition, it's a third-party guarantee on behalf of its client to another party for payment of a contract. Banks and large financial institutes issue the letter of guarantee on behalf of their business clients to their suppliers to ensure the contract payment will be made if their customer fails to make the obligation. In other words, the banks take the default risk of their customer in case they refuse or are unable to make the due payment.

- **Types of letter of Guarantee:**
- Financial or payment guarantee
- Performance of execution guarantee
- Advance payment guarantee
- Bidding or tender guarantee

- ✓ **Financial or payment guarantee:**

It's the most commonly used type of guarantee which assures the supplier against buyer default risk.

- ✓ **Performance of execution guarantee:**

This guarantee covers the risk on the buyer side, in case the supplier doesn't perform the contract terms.

- ✓ **Advance Payment guarantee:**

This type will also cover the buyer if the supplier receives the advance payment for the contract and doesn't execute the contract for any reason.

- ✓ **Bidding or tender guarantee:**

This type of guarantee will assure the Government or other institutions offering bid and tendering for contracts. If the bidder wins the contract and cannot fulfill the job, the letter of guarantee can be executed.

Question#19:

Explain the importance of credit policy of credit administration department (CAD) in implementation of credit policy?

Answer:

Question #20:

Different modes of creating charges on securities against financing facilities?

- **COMMERCIAL VS. BANK CREDIT**

It will be seen that the most important function of a commercial bank is the creation of credit money—a function which overshadows all other banking functions.

Credit creation or money creation refers to the power of the banks to expand or contract demand deposits through the process of more loans, advances and investments.

Some writers express the view that a bank could never lend more than the amount deposited by the depositors; this may be partially true.

But it is also true that whatever is lent out by a bank may come back by way of new deposits, which may be lent out again and so on, a deposit becoming a loan which again returns to the bank as a deposit and becomes the basis for a new loan and so on.

A commercial bank, therefore, has been aptly described as a 'factory of credit', which is able to multiply loans and investments and hence deposits. With a little cash at the disposal they are able to create additional purchasing power to a considerable degree. It is in this sense that banks create credit. An increase in bank credit will, therefore, mean multiplication of bank deposits.

There are mainly two ways of creating credit money by a commercial bank:

- By giving a loan, and
- By purchase of securities.
- By giving a loan:

Let us assume an isolated community having no foreign trade relations and only one bank where everybody keeps an account; further no cash circulates and transactions are settled by cheques. Bankers know that all the currency that depositors withdraw soon returns to the bank. They also know that all depositors will not withdraw all deposits at the same time. From experience they have learnt that if they just keep about 20% of their total demand deposits in cash reserves, they will have enough to meet all demands for cash.

Suppose an ordinary borrower goes to the bank for a loan of Rs. 1,000. After being convinced of the solvency of the borrower and the safety of the loan in his hands, the bank will advance a loan of Rs. 1,000 not by handing over cash or gold to the borrower, but by opening an account in his name. If the borrower, already has an account, he will be allowed an overdraft to the extent of Rs. 1,000.

Thus, the most usual method of making a loan is merely to credit the account of the borrower with Rs. 1,000. The borrower will then draw cheques on the bank while making purchases. Those who receive the cheques deposit them with the banks in their own accounts. Therefore, a bank loan of Rs. 1,000 has resulted in deposits of Rs. 1,000. The point to be noted and understand is that loans are made by creating a deposit.

When a person deposits Rs. 1,000 with a bank, the bank does not keep the entire cash but only a certain percentage (say 20%) of it to meet the day-to-day cash obligations. Thus, the bank keeps Rs. 200 and lends to another person B, Rs. 800 by opening a credit account in his name. Again, keeping 20% to meet B's obligations, the bank advances the rest Rs. 640 to C ; further keeping 20% to meet C's obligations the bank advances Rs. 512 to D and so on, till Rs. 1,000 are completely exhausted.

Thus, an original deposit of Rs. 1,000 leads to additional deposits of Rs. 800 plus Rs. 640 plus Rs. 512 plus Rs. 409, plus Rs. 328 and so on. By adding up all the deposits we get total Rs. 5,000. It is clear, therefore, that the total amount of credit creation will be the reverse of the cash reserve ratio. Here cash reserve ratio has been assumed to be 20% or 1/2, therefore, the credit is Rs. 5,000 i.e., live times the original deposit of Rs. 1,000. Although, we have assumed one bank, yet the credit creation will take place when there are many banks.

It is clear that the main limitation on credit creation is the reserve ratio of cash to credit. Therefore, the amount of credit that a system of banking can create depends upon the reserve ratio. The banks can multiply a given amount of cash to many times of credit. If the public would demand no cash, credit would go on expanding indefinitely. But the reserve ratio is a sort of leakage from the Stream of credit creation.

We can, thus, think of a credit creation multiplier. The higher the reserve ratio, the smaller is the credit creation multiplier. In our example above, with an original deposit of Rs. 1,000 the bank was in a position to create credit of Rs. 5,000. The credit creation multiplier is obviously 5(Rs 5,000/Rs, 1,000)

(b) <u>By purchase of securities:</u>

Making loan is not the only way in which deposits can be created. Sometimes, banks buy securities at the Stock Exchange and also buy real assets. When the bank does so, it does not pay the sellers in cash, rather it credits the amount of the price of the security or assets to the accounts of the sellers. The bank, therefore, creates a deposit with it.

It does not matter whether the seller of securities or property is a customer of the purchasing bank or not, as the seller is bound to deposit the cheques he receives in one of the banks. The purchase of security by any banker is bound to increase the deposits either of his own bank or of some other bank, in any case, the deposits of the banking system as a whole.